MEASURE M
CITY OF UPLAND

IMPARTIAL ANALYSIS OF MEASURE M

This Impartial Analysis of Measure M has been prepared by the City Attorney pursuant to Section 9280 of the California Elections Code.

For decades, the City of Upland has levied a license tax on businesses operating within the City. The business license tax is a general tax. Revenues are deposited into the General Fund and may be spent for any City expense, like street repair, infrastructure repair and maintenance, emergency response, and public safety. The existing license tax structure was last updated in 1994. Because the existing structure treats most businesses with gross receipts over $1,400,001 identically, capping the amount of the tax at $864, the structure taxes small businesses at a higher proportional rate while taxing larger businesses at a lower proportional rate.

On August 3, 2026, the City Council unanimously voted to place Measure "M" on the November 3, 2026 ballot. If approved by majority (50%+1) of Upland voters, this Measure would revise the City's business license tax to be based predominantly on gross receipts rather than a range of factors, including number of employees. For small businesses with less than $100,000 in annual gross receipts, the business license tax shall be a flat $75.00 per year. For annual gross receipts over $100,000, the rates for each business classification would be:

- Retail/Commercial: 0.065%;
- Contractors: 0.150%;
- Rental (commercial or residential): 0.200%;
- General Service (nonprofessional or non-semiprofessional, e.g., hair and nail salons): 0.125%; and
- Professional service/calling or semiprofessional: 0.125%.

In addition, self-storage facilities would pay $50 per unit.

Notwithstanding the above, the maximum business license tax would be capped at $28,000 per business per year. With the larger cap, the proposed measure would result in larger businesses paying a greater proportional share relative to small businesses than they do under the current structure.

The Measure would continue to exempt businesses exempted by Federal or State law along with any person issued a special event permit who does not have a fixed place of business and is not otherwise engaged in business within the City.

The Measure also updates the City's tax collection and administrative procedures. This includes updating definitions, license application, review, denial, approval, renewal and transfer procedures, tax calculation formulas, and tax deficiency, credit, refund and appeal procedures. Proceeds from the tax will be subject to an annual, independent financial audit, and audit results shall be available to the public.

This tax is estimated to generate $3.3 million annually, $2.1 million more than the current business license tax structure. The new rates would become effective on January 1, 2028 and remain in effect until repealed by voters. From January 1, 2027 until December 31, 2027, the business license tax will be levied at a rate temporarily lowered by 0.005%-0.075%.

A "yes" vote on Measure "M" will approve this amendment to the City's business license tax code.

A "no" vote on Measure "M" will not approve this amendment to the City's business license tax code.

The above statement is an impartial analysis of Measure "M". If you desire a copy of the Measure, please call the City's elections official at (909) 931-4120 and a copy will be mailed at no cost to you.

s/ THOMAS A. RICE
City Attorney

ARGUMENT IN FAVOR OF MEASURE M

This Argument in Favor of Measure M was submitted pursuant to Section 9282 of the California Elections Code. It is the opinion of the author(s), and has been printed exactly as submitted.

Did you know Upland residents and small businesses are shouldering an unfair burden compared to big-box corporations for the essential services we all rely on? **Vote YES on M to make the largest businesses pay their fair share to maintain our quality of life, without raising taxes on residents!**

Our business license structure is 31 years old. YES on M simply reforms this structure to match the mix of businesses in our city today.

Measure M applies ONLY to businesses. YES on M will NOT increase taxes for residents or homeowners.

Currently, our local small businesses pay significantly higher rates than the largest businesses – in some cases, more than 100 times as much! That's simply unfair.

YES on M ensures the largest businesses step up and pay their fair share for the essential city services residents and small businesses already pay for, including our streets and 911 emergency response.

And **YES on M reduces taxes for a majority of small, mom and pop businesses,** so they can afford to stay in our community during these challenging times.

Measure M is fiscally accountable – all funds are subject to independent audits and public disclosure of spending. Every penny must be reinvested back into our community to benefit local residents and maintain critical services. **By law, NO Measure M money can be taken by Sacramento politicians.**

YES on M is a win-win for our community: millions more to address our local needs, without asking residents to pay more.

YES on M fixes streets and potholes.

YES on M keeps our parks, streets, and public areas safe and clean.

YES on M maintains fast 911 emergency response times.

Join Upland small business owners, Firefighters, Police, neighbors, and a unanimous City Council in voting YES on M!

For official information, visit: www.uplandca.gov

s/ Jim Thomas, Upland Resident For Over 65 Years
s/ Sunilchandra Patel, Small Business Owner - Colonies Cleaners & Shirt Laundry
s/ Tina Nguyen, Small Business Owner - Pho Century
s/ Amy Valdivia, Small Business Owner - Planet Home Lending
s/ Ciro Brito, Small Business Owner - La Michelada

REBUTTAL TO ARGUMENT IN FAVOR OF MEASURE M

This Rebuttal to Argument in Favor of Measure M was submitted pursuant to Section 9285 of the California Elections Code. It is the opinion of the author(s), and has been printed exactly as submitted.

Upland City Council unanimously supported making your favorite big-box store and grocery store villains by the outrageous claim they are not paying their fair share of taxes! Businesses large and small provide all of us products, services and jobs while providing sales tax revenue to the City!

The proposed $3.3 million business tax increase actually places a disproportionate burden on small, mid-size and professional services businesses. This tax is HIGHER than adjacent cities which could motivate some businesses to close or relocate during these financially challenging times! The Upland Chamber of Commerce opposes this tax increase.

Don't be deceived by politicians, the overwhelming majority of 911 calls are for medical assistance. The County Fire Department and AMR ambulance service handle these emergency calls, not the City. The $3.3 million taxes collected would go into the General Fund and could be used for streets, but more likely to pay for employee salaries, benefits and pensions. Some employee contracts have expired and were extended until June 2027 and they want pay raises!

In 2017 to save money, the City seamlessly outsourced the Upland Fire Department to County Fire. A citizen taskforce also recommended outsourcing the police department to the County Sheriff as does Rancho Cucamonga and Chino Hills, two of the safest cities in SOCAL.

REBUTTAL TO ARGUMENT IN FAVOR – Continued on next page

There is a potential cost saving of $18 million dollars annually by adopting the same contract as Chino Hills. NO new taxes needed!

The Upland Residents for Good Government urges you to **VOTE NO on-M!**

s/ Glenn Bozar, Former Upland City Councilmember
s/ Lois Sicking, 37 year Upland Resident

ARGUMENT AGAINST MEASURE M

This Argument Against Measure M was submitted pursuant to Section 9282 of the California Elections Code. It is the opinion of the author(s), and has been printed exactly as submitted.

Upland Businesses and taxpayers did not cause the City's budget problems! Current and past City Council member's financial mismanagement caused any budget shortfalls. This City Council gave themselves generous pay raises, health insurance, retirement plans, car allowances and City employees generous pay raises. Unbelievably, they hired a third City Manager! We now pay for a City Manager and two Assistant City Managers to run the City! Outrageous bloated government bureaucracy doesn't justify tripling the business tax to $3.3 million annually!

Upland residents soundly rejected City Council proposals to increase sales taxes in 2022 and 2024!

Don't be fooled by untrustworthy politicians! The proposed $3.3 million tax increase on businesses gross sales receipts will be passed onto we consumers. Businesses and residents have just been hit hard by City increased water, sewer, and Burrtec trash rates. With record high food, energy, gasoline prices and insurance costs, hard-working families and seniors cannot afford additional City imposed taxes! The Mayor recently admitted sales tax revenues have declined. It's because residents have cut back on spending due to higher cost of living! This has negatively impacted Upland businesses large and small. Many businesses are in survival mode. Bed Bath and Beyond recently went bankrupt.

Just like businesses and residents, the City must operate within its budget and transform the way it functions more cost efficiently! Over the last 25 years, the City has been through various budget shortfalls, yet always finds a way to increase employee salaries and benefits. During this time, resident driven financial workout plans and task force recommendations forced City Councils to improve efficiency and reduce costs. More can be done!

Many businesses large or small and residents are financially struggling. As members of the Upland Residents for Good Government, we urge residents to VOTE NO on M!

s/ Glenn Bozar, Former City Councilmember
s/ Lois Sicking, 37 year Resident

REBUTTAL TO ARGUMENT AGAINST MEASURE M

This Rebuttal to Argument Against Measure M was submitted pursuant to Section 9285 of the California Elections Code. It is the opinion of the author(s), and has been printed exactly as submitted.

Don't be fooled! The opponents are recycling the same tired political attacks they have used for years: the politics of "no". This time, they're defending the status quo and letting Big Box Corporations avoid paying their fair share!

Vote YES on M: Make Big Corporations Pay Their Fair Share!

Measure M is a common-sense SOLUTION that fixes Upland's unfair business license system and helps protect the services that keep our city safe and clean, without residents having to foot the bill.

The opponents are right about one thing: our economy is tough right now. Neighbors and locally-owned small businesses are feeling pinched. That's exactly why **YES on M** provides relief for our small businesses.

The Truth Is:

FACT: YES on M simply reforms an outdated 31-year-old ordinance.

FACT: YES on M requires Big Corporations benefiting from the outdated system to pay their fair share.

FACT: YES on M lowers business taxes for more than half of small businesses.

FACT: YES on M does NOT increase resident or homeowner taxes.

FACT: YES on M is strictly accountable and transparent requiring independent audits and public disclosure of spending. NO money can be taken by out-of-town politicians.

REBUTTAL TO ARGUMENT AGAINST – Continued on next page

While some believe Upland can simply cut its way out of financial challenges, potholes still need to be repaired, and 911 calls still need to be answered.

Don't fall for political attacks that want to jeopardize our quality-of-life. Join Upland small business owners and neighbors: Vote YES on M!

s/ Jim Thomas, Upland Resident For Over 65 Years
s/ Sunilchandra Patel, Small Business Owner - Colonies Cleaners & Shirt Laundry
s/ Tina Nguyen, Small Business Owner - Pho Century
s/ Amy Valdivia, Resident & Small Business Owner - Planet Home Lending
s/ Ciro Brito, Small Business Owner - La Michelada